

# PARDEE RESOURCES COMPANY

1ST QUARTER 2021



Responsible Development of Natural Resource Properties  
Integrity Creativity Excellence Respect Teamwork Family

## To Our Shareholders:

During Q1 2021, Pardee Resources Company earned \$1.11 per share, a 2.8% increase above the \$1.08 per share earned during Q1 2020. EBITDA was \$3.31 per share, a 7.5% decrease below last year's level. During the quarter, the Company realized higher commodity prices in metallurgical coal, hardwood timber, and natural gas versus Q1 2020, as a result of the ongoing economic recovery. Additionally, strong market demand led to a significant increase in hardwood timber production from our properties. These gains were largely offset by a decline in metallurgical coal production.

**Metallurgical Coal Division:** As world industrial markets continued to recover from the impacts of COVID-19 during the quarter, metallurgical coal prices improved steadily, with spot market prices rising approximately 30% above Q4 2020 levels. While our operating lessees contracted much of their 2021 production at the lower 2020 price levels, we expect average prices to improve going forward. Our new lessee at our Powellton Minerals tract was fully operational during the quarter, helping to replace the Big Huff North property production which went off-line in mid-2020. At our PLC Minerals tract, a large mine moved off of our property. This, coupled with the severe February ice storms which disrupted rail shipments of mined coal, contributed to a 31% decline in royalty tons produced from our properties versus Q1 2020. Both of our operating lessees are working to increase production to meet the improved market demand.

**Oil & Gas Division:** Natural gas prices in the Appalachian Basin averaged \$2.25 per MMBtu during the quarter, 41% higher than the \$1.60 per MMBtu average of Q1 2020, and well-above the \$1.49 per MMBtu average for all of 2020. Several factors led to the market improvement, including an increase in demand due to the severe winter weather, gains in the industrial sector, and strengthening LNG exports. With rig counts building and the summer months approaching, prices may soften going forward but are expected to remain well-above 2020 averages for the year.

**Timber & Surface Division:** As the worst of the COVID-19 economic impacts began to subside in mid-2020, strength in the housing market led to softwood lumber prices reaching record highs during Q1 2021. Unfortunately, an abundance of softwood trees available for harvest kept downward pressure on softwood stumpage prices. Hardwood lumber prices also improved thanks to the strong housing market and a rebound in exports to Asia. Pardee's realized hardwood stumpage price averaged \$225 during Q1 2021, a 12% increase over Q1 2020 levels. More importantly, the market strength led to a 48% increase in hardwood production from our properties during the quarter.

**Alternative Energy Division:** Following a record year of capacity additions in 2020, we expect another strong year for the U.S. solar PV industry in 2021. The recent infrastructure bill proposed by Congress calls for a 10-year extension of the 30% investment tax credit, which would enhance support for the development of all renewable energy projects going forward. At Pardee, we expect to invest in new renewable projects during 2021, but project size continues to be constrained by our limited tax “appetite”. While production from our New Jersey based solar systems was adversely impacted by the persistent snow cover during February, this was offset by strong performance from our California solar system. Division revenues declined 6.4% versus Q1 2020 due to the expiration of certain higher priced renewable energy credits in New Jersey.

**Agriculture Division:** The weather in Southern California thus far in 2021 has been favorable for growing table grapes, and our vines are showing strong “bunch counts” as they begin to bloom in late April 2021. The region is experiencing a drought which may lead to higher water expenses for our smaller 40-acre ranch; however, our larger 200-acre ranch, which has its own irrigation well, should not be impacted. The development of our 420-acre almond tree farm located in Evora, Portugal, is developing on schedule and is expected to produce a partial harvest later this year.

**Strategic Focus:** Despite having recently begun our second year of working remotely and under the restrictions of COVID-19, the Company continues to operate smoothly thanks to the dedication of our employees. We are encouraged by the recent increases in commodity prices which should support our financial results as the year progresses. We ended the quarter with a strong balance sheet, which as of March 31, 2021 included \$24.2 million in cash. Lastly, we are again reminded of the benefits of a diversified portfolio, and continue to seek new investments across all of our divisions.

\*Please see page 6 for an update of legal matters.

Sincerely yours,



Chairman  
Benjamin A. Burditt

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President & CEO  
Carleton P. Erdman

Pardee Resources Company  
Unaudited Consolidated Balance Sheets

(Dollars in Thousands)

| <b>ASSETS</b>                                  | <u>03-31-21</u>         | <u>12-31-20</u>         |
|------------------------------------------------|-------------------------|-------------------------|
| Current Assets:                                |                         |                         |
| Cash & Cash Equivalents                        | \$24,237                | \$22,367                |
| Accounts Receivable                            | 4,517                   | 7,030                   |
| Prepaid Income Taxes                           | 2,464                   | 2,745                   |
| Other                                          | <u>1,819</u>            | <u>1,150</u>            |
|                                                | <u>33,037</u>           | <u>33,292</u>           |
| Fixed Assets: (Net of Depl. & Deprec.)         |                         |                         |
| Land & Right of Ways                           | 28,699                  | 28,953                  |
| Mineral Rights - Coal                          | 33,509                  | 33,520                  |
| Timber                                         | 10,560                  | 10,588                  |
| Solar Equipment                                | 21,507                  | 21,835                  |
| Building & Structures                          | 1,255                   | 1,273                   |
| Agriculture Development                        | 8,698                   | 8,709                   |
| Equipment                                      | 512                     | 542                     |
| Automobiles                                    | 117                     | 128                     |
| Other Fixed Assets                             | <u>962</u>              | <u>988</u>              |
|                                                | <u>105,819</u>          | <u>106,536</u>          |
| Investments & Other                            |                         |                         |
| Oil & Gas Investments (Net of Depl. & Deprec.) | 38,334                  | 38,576                  |
| Equity Investments                             | 529                     | 553                     |
| Right of Use Asset                             | 3,469                   | 3,561                   |
| Other                                          | <u>256</u>              | <u>408</u>              |
| <b>Total Assets</b>                            | <u><u>\$181,444</u></u> | <u><u>\$182,926</u></u> |
| <b>LIABILITIES &amp; EQUITY</b>                |                         |                         |
| Current Liabilities:                           |                         |                         |
| Accounts Payable                               | \$2,337                 | \$2,709                 |
| Deferred Revenues                              | 110                     | 371                     |
| Current Portion Lease Liability                | <u>612</u>              | <u>612</u>              |
|                                                | 3,059                   | 3,692                   |
| Noncurrent Liabilities:                        |                         |                         |
| Non-recourse Debt                              | 1,227                   | 1,227                   |
| Asset Retirement Liability                     | 161                     | 160                     |
| Supplemental Pension Plan                      | 461                     | 461                     |
| Deferred Revenue, Net of Current Portion       | 1,044                   | 897                     |
| Deferred Taxes                                 | 19,696                  | 19,696                  |
| Lease Liability                                | 3,187                   | 3,282                   |
| Other                                          | <u>105</u>              | <u>90</u>               |
| Total Liabilities                              | <u>28,940</u>           | <u>29,505</u>           |
| Shareholder's Equity:                          |                         |                         |
| Common Stock                                   | 775                     | 775                     |
| Additional Paid in Capital                     | 13,850                  | 14,513                  |
| Accumulated Other Comprehensive Income         | 179                     | 179                     |
| Retained Earnings                              | 159,846                 | 160,928                 |
| Treasury Stock                                 | <u>(24,970)</u>         | <u>(26,178)</u>         |
|                                                | 149,680                 | 150,217                 |
| Noncontrolling Interest                        | <u>2,824</u>            | <u>3,204</u>            |
| Total Equity                                   | <u>152,504</u>          | <u>153,421</u>          |
| <b>Total Liabilities &amp; Equity</b>          | <u><u>\$181,444</u></u> | <u><u>\$182,926</u></u> |

Pardee Resources Company  
Unaudited Consolidated Income Statements

(Dollars in Thousands)

|                                                                        | Three<br>Months<br>Ended<br><u>03-31-21</u> | Three<br>Months<br>Ended<br><u>03-31-20</u> |
|------------------------------------------------------------------------|---------------------------------------------|---------------------------------------------|
| Divisional Revenues:                                                   |                                             |                                             |
| Metallurgical Coal                                                     | \$1,805                                     | \$2,390                                     |
| Oil & Gas                                                              | 1,710                                       | 1,644                                       |
| Timber & Surface                                                       | 1,232                                       | 1,005                                       |
| Alternative Energy                                                     | 733                                         | 782                                         |
| Agriculture                                                            | <u>0</u>                                    | <u>0</u>                                    |
|                                                                        | <u>5,480</u>                                | <u>5,821</u>                                |
| Divisional Expenses:                                                   |                                             |                                             |
| Metallurgical Coal                                                     | 642                                         | 699                                         |
| Oil & Gas                                                              | 1,037                                       | 1,170                                       |
| Timber & Surface                                                       | 622                                         | 744                                         |
| Alternative Energy                                                     | 542                                         | 583                                         |
| Agriculture                                                            | <u>156</u>                                  | <u>159</u>                                  |
|                                                                        | <u>2,999</u>                                | <u>3,355</u>                                |
| <b>Net Operating Income</b>                                            | <b>\$2,481</b>                              | <b>\$2,466</b>                              |
| Interest and Other Income                                              | 11                                          | 69                                          |
| Gain(Loss) on Equity Investment                                        | 5                                           | (10)                                        |
| General and Administrative                                             | (1,530)                                     | (1,590)                                     |
| Interest Expense                                                       | <u>(7)</u>                                  | <u>0</u>                                    |
| <b>Income Before Taxes</b>                                             | <b>\$960</b>                                | <b>\$935</b>                                |
| Taxes                                                                  | <u>261</u>                                  | <u>243</u>                                  |
| <b>NET INCOME</b>                                                      | <b>\$699</b>                                | <b>\$692</b>                                |
| Net Loss Attributable to Noncontrolling Interest                       | <u>31</u>                                   | <u>17</u>                                   |
| Net Income Attributable to Pardee Resources Shareholders               | <u><u>\$730</u></u>                         | <u><u>\$709</u></u>                         |
| <b>EARNINGS PER SHARE</b>                                              | <u><u>\$1.11</u></u>                        | <u><u>\$1.08</u></u>                        |
| <b>EBITDA PER SHARE</b>                                                | <u><u>\$3.31</u></u>                        | <u><u>\$3.58</u></u>                        |
| (earnings before interest, taxes,<br>depreciation and amortization)    |                                             |                                             |
| Weighted Average Number of<br>Common Shares Outstanding                | <u><u>655,608</u></u>                       | <u><u>654,439</u></u>                       |
| Common Dividend Per Share                                              | <u><u>\$1.80</u></u>                        | <u><u>\$1.80</u></u>                        |
| Total Shareholder Return (dividend<br>paid plus change in stock price) | <u><u>20.52%</u></u>                        | <u><u>-26.36%</u></u>                       |

Pardee Resources Company  
Comparison Data Sheet

|                                                                  | Three<br>Months<br>Ended<br>03-31-21 | Three<br>Months<br>Ended<br>03-31-20 | %<br>Change |
|------------------------------------------------------------------|--------------------------------------|--------------------------------------|-------------|
| <b>Metallurgical Coal</b>                                        |                                      |                                      |             |
| Revenues - Millions                                              | \$1.81                               | \$2.39                               | -24.3%      |
| Production - Coal Tons - Millions                                | 0.35                                 | 0.51                                 | -31.4%      |
| Royalty/Coal Ton                                                 | \$3.42                               | \$3.09                               | 10.7%       |
| <b>Oil &amp; Gas</b>                                             |                                      |                                      |             |
| Revenues - Millions                                              | \$1.71                               | \$1.64                               | 4.3%        |
| Production - bcfe                                                | 0.63                                 | 0.74                                 | -14.9%      |
| Price/mcfe                                                       | \$2.86                               | \$2.03                               | 40.9%       |
| <b>Timber &amp; Surface</b>                                      |                                      |                                      |             |
| Revenues - Millions                                              | \$1.23                               | \$1.01                               | 21.8%       |
| Production - Board feet - Millions                               | 3.80                                 | 2.56                                 | 48.4%       |
| Stumpage Price/Thousand Bd. Ft.                                  | \$224.93                             | \$200.63                             | 12.1%       |
| Production - Softwood Tons - Thousands                           | 9.85                                 | 14.46                                | -31.9%      |
| Stumpage Price/Ton Softwood                                      | \$13.95                              | \$15.75                              | -11.4%      |
| Production - Hardwood Tons - Thousands                           | 10.86                                | 7.43                                 | 46.2%       |
| Stumpage Price/Ton Hardwood                                      | \$2.46                               | \$2.38                               | 3.4%        |
| <b>Alternative Energy</b>                                        |                                      |                                      |             |
| Revenues - Millions                                              | \$0.73                               | \$0.78                               | -6.4%       |
| Production - k/w - Millions                                      | 3.59                                 | 3.63                                 | -1.1%       |
| Electric Sales Price per k/w                                     | \$0.115                              | \$0.112                              | 2.7%        |
| Production - SREC Units                                          | 3,588                                | 1,975                                | 81.7%       |
| SREC Price/Credit                                                | \$82                                 | \$176                                | -53.4%      |
| <b>NET DIVISIONAL OPERATING INCOME:</b>                          |                                      |                                      |             |
| (Dollars in Millions)                                            |                                      |                                      |             |
| Metallurgical Coal                                               | \$1.16                               | \$1.69                               | -31.4%      |
| Oil & Gas                                                        | 0.67                                 | 0.47                                 | 42.6%       |
| Timber & Surface                                                 | 0.61                                 | 0.26                                 | 134.6%      |
| Alternative Energy                                               | 0.19                                 | 0.20                                 | -5.0%       |
| Agriculture                                                      | (0.16)                               | (0.16)                               | 0.0%        |
| Net Operating Income                                             | <u>\$2.47</u>                        | <u>\$2.46</u>                        | 0.4%        |
| EBITDA - Millions                                                | <u>\$2.17</u>                        | <u>\$2.34</u>                        | -7.3%       |
| (earnings before interest, taxes, depreciation and amortization) |                                      |                                      |             |

On December 7, 2007, Lexington Land Development, LLC (Lexington) filed litigation against certain parties in East Baton Rouge Parish, Louisiana. Lexington claims that their 48-acre parcel was contaminated by a release from a pipeline owned and operated by Shell Pipeline Company (Shell), as well as the oil and gas exploration and production activities of other various defendants, including Zinn Petroleum Company (Zinn). Lexington seeks various remedies, including remediation and damages. The Company is not a defendant in this case; however, the Company has a minority interest in certain leases and wells operated by Zinn, and, under joint operating agreements, the Company and certain other interest owners are responsible for their respective shares of any damages or judgments sustained by Zinn.

Under Louisiana law, this litigation triggered attention from regulatory agencies. The Louisiana environmental regulatory agencies required Shell and other defendants, including Zinn, to submit plans for assessing soil and ground water conditions at the site. Shell completed its assessment and remediation which was approved by the agencies. Zinn's environmental experts have concluded their assessment and determined that Zinn's operations, which began in 1992, have been in compliance with regulatory standards. Zinn's experts have further determined that the data indicating the presence of certain constituents in the soil and shallow groundwater are the result of either former closed production storage pits used by other operators before Zinn began operations on the property or natural environmental conditions. Zinn's experts have also opined that the presence of these constituents is, for the most part, within applicable regulatory standards and not harmful to the environment. Finally, Zinn's experts have found defects in the methodology used by the plaintiff's experts and recommend that decisions regarding the need for assessment/restoration, as may be appropriate, be done under the direction of the regulatory agency in order to achieve regulatory closure status for the site.

On October 16, 2019, the district court ruled that plaintiff's claims against co-defendant Chevron would be dismissed because they were not filed timely. This is a favorable development but is being appealed by the plaintiff. Discovery is not complete, and a trial date has not been set.

Zinn is vigorously defending both the civil and regulatory actions. This action is subject to substantial uncertainties concerning the outcome of material factual and legal issues related to the litigation. Accordingly, we cannot currently predict the manner and timing of the resolution of these matters and are unable to estimate the amount of any possible losses, which could be material.

#### DC Solar Solutions, Inc.

In December 2015, the Company invested \$7.7 million in a limited liability company (Fund) that purchased mobile solar generators (MSGs) from DC Solar Solutions, Inc. (DC Solar) and, in turn, leased the MSGs to DC Solar Distribution, Inc., an affiliate of DC Solar. In early 2019, the Company learned through public sources that, in December 2018, the U.S. government seized substantially all of the assets of DC Solar and its affiliates. In February 2019, DC Solar and its affiliates, including our lessee, filed for Chapter 11 bankruptcy protection. In February 2019, an affidavit from a Federal Bureau of Investigation special agent was filed in the bankruptcy proceeding asserting that DC Solar was operating a fraudulent "Ponzi-like scheme" and that a majority of the MSGs sold to investors and a majority of the lease revenues claimed to have been received by DC Solar Distribution, Inc. may not have existed. The Chapter 11 proceedings were subsequently converted to Chapter 7 liquidations. Due to the bankruptcy proceedings being converted to Chapter 7, the Company evaluated its remaining equity investment value of \$485,332 and recorded an impairment charge in that amount as of December 31, 2018.

In 2019, an independent audit located and identified all of the 125 MSGs purchased by the Fund in 2015. On July 2, 2020, the DC Solar Bankruptcy Court entered an order authorizing the sale of the Fund's MSGs, along with those of the other DC Solar funds. The buyer conducted an inventory of the MSGs to be purchased and was able to locate only 113 of the Fund's 125 MSGs that had been located during the 2019 inventory. In September 2020, the buyer closed on its acquisition of the 113 MSGs, yielding \$412,225 in gross sale proceeds. As a result of the MSG sale, the Company was required to recapture the fifth unvested year related to the underlying investment tax credit that the original investment yielded. In 2015, the investment allowed the Company to claim a \$5.6 million investment tax credit which requires a five-year holding period. The accounting for this investment tax credit in 2015 created a \$5.6 million tax asset while recording a direct write-off to the equity investment's carrying value. In 2020, the 20% investment tax credit recapture restored the investment's carrying amount to \$1.1 million or 20% of the original investment tax credit claimed. Subsequently, the Company recorded a \$1.1 million charge to 2020 pre-tax earnings related to this recapture. For tax purposes, the \$1.1 million charge is not tax deductible, and 20% of the original tax asset was removed from the Balance Sheet.

The Company remains vigorously engaged with other DC Solar investors, which include several major insurance companies and banks, to determine the best path forward to protect our interests and minimize the financial impact on the Company arising from the DC Solar fraud. Due to various substantial uncertainties, the Company is currently unable to determine the financial impact, if any, arising from this complex situation; however, this impact could be as much as \$6.1 million, which includes related tax impacts.

#### Forward Looking Statement

Certain of the statements contained herein (other than statements of historical facts) are forward-looking statements. Such forward-looking statements include estimates and assumptions related to the Company's growth, reserves, the state of future markets for natural resource, renewable and agricultural products, and the ability of the Company to sell its natural resource, renewable and agricultural products on a profitable basis. These forward-looking statements are subject to change and uncertainty which are, in many instances, beyond the Company's control and have been made based upon management's expectations and beliefs concerning future developments and their potential effect on the Company. There can be no assurance that future developments will be in accordance with management's expectations or that the effect of future developments on the Company will be those anticipated by management. Actual financial results, including revenue growth and earnings results, could differ materially from those anticipated by the Company depending on the outcome of certain factors, which may include, among others, changes in the wholesale prices for timber, oil, natural gas, coal, renewable and agricultural products; increases in property acquisition costs; adverse weather conditions; litigation; failures of our lessees to mine, drill and harvest at rates we currently anticipate; differences between actual reserves and estimated amounts; legislative changes or government regulations which make it more difficult or expensive to sell, extract or harvest our natural resource, renewable and agricultural products or impose greater financial burdens on the users of such products; unanticipated costs for remediation and reclamation; the scope of the fraud alleged to have been conducted by DC Solar; and other risks and uncertainties.

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